Type MS · Work out profit or loss

Answer 1 of 5 · Question 4 part a · 2 marks

2019 JUN · Paper 02 (regional R) · extract 1 of 5 · find part a in this mark scheme extract

4 (a)	**AO2 = 2 marks** 13.75 x 14 000 **(1)** = 192 500 192 500 – 154 700 = 37 800 **(1)** **OR** 13.75 – 11.05 **(1)** = 2.7 2.7 x 14 000 = 37 800 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Work out profit or loss

Answer 1 of 5 · Question 4 part a · 2 marks

2019 JUN · Paper 02 (regional R) · extract 2 of 5 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
4 (b)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Customers may make negative comments about the clothes purchased. • Customers may not want to buy clothes because of the reviews posted. **AO3** • The impact of negative comments on clothes purchased might be a decrease in the sale of that type of clothing leading to excess stock. • *Yellow* may lose customers and sales due to the comments made on social media, without customers seeing the clothes.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Work out profit or loss

Answer 1 of 5 · Question 4 part a · 2 marks

2019 JUN · Paper 02 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • Customers buy *Yellow* clothing because they offer a wide variety of clothing. • *Yellow* has low manufacturing costs. **AO2** • It offers clothing for all the family with different price ranges. • It gains a competitive advantage because it responds quickly to the change in the fashion market demanded by its customers. **AO3** • Customers want clothing that is sold at a reasonable price and the whole family can shop at one store without going to other stores. • By having a quick response to changes in demand it is ahead of its competitors. **AO4** • However, not all members of the family have the same taste and some may prefer different styles of clothing that *Yellow* offer. • Not all customers are driven by fashion changes and many would want clothing that would last a number of years.	**(12)**

Type MS · Work out profit or loss

Answer 1 of 5 · Question 4 part a · 2 marks

2019 JUN · Paper 02 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1). • Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places (AO1). • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Work out profit or loss

Answer 1 of 5 · Question 4 part a · 2 marks

2019 JUN · Paper 02 (regional R) · extract 5 of 5 · find part a in this mark scheme extract

Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1). • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Work out profit or loss

Answer 2 of 5 · Question 1 part a.iii · 1 mark

2022 JUN · Paper 02 · extract 1 of 6 · find part a.iii in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **C** Cash flow A – a mortgage is a loan B – break-even does not show money in and out of a business – it is the point at which total costs and revenue are the same D – Profit and loss – profit is money left after sales and loss is when there is less money made than it cost	**(1)**

Question Number	Which **one** of the following could a person complete when applying for a job? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** **A** Application form B – Shortlisting is the process of deciding which applicants to interview C – Job description gives of the job for which applicants can apply D Person specification gives details of the type of person required for the job	**(1)**

Question Number	Which **one** of the following is the correct statement? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** **C** Loss of 550 000 A – Total costs has incorrectly been calculated using revenue + variable costs + fixed costs B – Cash inflow has incorrectly been calculated by doing variable costs minus fixed costs D – Profit is incorrect as this calculates revenue minus variable costs	**(1)**

Type MS · Work out profit or loss

Answer 2 of 5 · Question 1 part a.iii · 1 mark

2022 JUN · Paper 02 · extract 2 of 6 · find part a.iii in this mark scheme extract

Question Number	Which **one** of the following is a benefit of being a franchisee? **Answer**	**Mark**
1 (a)(iv)	**AO1 - 1 mark** **B** Selling an established brand A – You cannot choose your own suppliers as a franchise C – You would still have to pay interest on any bank loans whether a franchisee or not D – You do not have complete control of the business if you are a franchisee the franchisor does	**(1)**

Question Number	Which **one** of the following is the percentage increase from 2019 to 2020? **Answer**	**Mark**
1 (a) (v)	**AO2 - 1 mark** **D** 6% A – is 2.31 ÷ 38.5 = 0.06% B – is 40.81 ÷ 38.5 = 1.06% C – is 40.81 – 38.5 = 2.31%	**(1)**

Question Number	Which **one** of the following functional areas could help employees who had a problem with their wage? **Answer**	**Mark**
1 (a)(vi)	**AO1 - 1 mark** **B** Finance A – Production is making goods C – Marketing is about identifying, anticipating and satisfying customer requirements profitably D – Sales is selling the goods to customers	**(1)**

Type MS · Work out profit or loss

Answer 2 of 5 · Question 1 part a.iii · 1 mark

2022 JUN · Paper 02 · extract 3 of 6 · find part a.iii in this mark scheme extract

Question Number	Define the term **break-even**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **break-even**. • When costs and revenue are the same **(1)** • When total costs are the same as total sales **(1)**	**(1)**

Question Number	Define the term **public corporation**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **public corporation** • Owned by the state/central government **(1)**	**(1)**

Question Number	State **one** benefit for *LEGO* of having a short span of control. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid benefit for having a short span of control in the context of the business. • By reducing the levels communication between the managers of the 15 factories and the Danish HQ could lead to fewer mistakes **(1)** • Allows all 18,000 world-wide employees to make suggestions about the new products **(1)** **NB** Do not accept a benefit that is not in the context of LEGO. **Accept any other appropriate response**	**(1)**

Type MS · Work out profit or loss

Answer 2 of 5 · Question 1 part a.iii · 1 mark

2022 JUN · Paper 02 · extract 4 of 6 · find part a.iii in this mark scheme extract

Question Number	Calculate, to two decimal places, the cost of making the pineapple pencil holders. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 148 ÷ 115 = 1.287 **(1)** 1.287 × 100 = 128.70 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** disadvantage of using questionnaires as a method of market research. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a disadvantage of using a questionnaire, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • If the questionnaire is too long **(1)** people may be reluctant to complete them **(1)** and may not give true answers **(1)** • If there are too many questions then people may not focus properly **(1)** and this could result in a low rate of return **(1)** therefore not giving the information required **(1)** NB No marks are awarded for a definition. Answers that list three disadvantages with no explanation will get a 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Work out profit or loss

Answer 2 of 5 · Question 1 part a.iii · 1 mark

2022 JUN · Paper 02 · extract 5 of 6 · find part a.iii in this mark scheme extract

Question Number	Analyse the benefits for *LEGO* of being a multinational business. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *LEGO* can sell its Harry Potter toys around the world • The arts and craft materials can be produced in the most cost-effective location for *LEGO* **AO3** • This means that *LEGO*'s global market will increase compared to rivals • Thus reducing the average total cost and leading to a larger profit margin	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Work out profit or loss

Answer 2 of 5 · Question 1 part a.iii · 1 mark

2022 JUN · Paper 02 · extract 6 of 6 · find part a.iii in this mark scheme extract

Question Number	State **one** financial objective for *LEGO*. **Answer**	**Mark**

Type MS · Work out profit or loss

Answer 3 of 5 · Question 1 part a.v · 1 mark

2024 NOV · Paper 01 · extract 1 of 9 · find part a.v in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D –** Remuneration **A** – is not the correct answer as job enrichment is a non-financial method used to motivate employees **B** – is not the correct answer as job rotation is a non-financial method used to motivate employees **C** – is not the correct answer as autonomy is a non-financial method used to motivate employees	**(1)**

Question Number	Which **one** of the following is an example of secondary research? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** **The only correct answer is A –** Government reports **B** – is not the correct answer as a survey is a primary method of market research **C** – is not the correct answer as a focus group is a primary method of market research **D** – is not the correct answer as an observation is a primary method of market research	**(1)**

Type MS · Work out profit or loss

Answer 3 of 5 · Question 1 part a.v · 1 mark

2024 NOV · Paper 01 · extract 2 of 9 · find part a.v in this mark scheme extract

Question Number	Which **one** of the following would increase the break-even point? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is B** – An increase in the variable costs **A** – is not the correct answer as a decrease in fixed costs will lower the break-even point **C** – is not the correct answer as an increase in the selling price will lower the break-even point **D** – is not the correct answer as a decrease in total costs would lower the break-even point	**(1)**

Question Number	Which **one** of the following is provided by a person applying for a job? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** **The only correct answer is B –** Curriculum vitae (CV) **A** - is not the correct answer as a job description is provided to a job applicant by a business **C** – is not the correct answer as a person specification is provided to a job applicant by a business **D** – is not the correct answer as disciplinary and grievance procedures will be supplied to the successful candidate	**(1)**

Type MS · Work out profit or loss

Answer 3 of 5 · Question 1 part a.v · 1 mark

2024 NOV · Paper 01 · extract 3 of 9 · find part a.v in this mark scheme extract

Question Number	Which **one** of the following is the operating profit in 2023? **Answer**	Mark
1 (a)(v)	**AO1 - 1 mark** **The only correct answer is D –** £61 000 **A** – is not the correct answer as £29 000 is the sum of cost of sales and expenses **B** – is not the correct answer as £79 000 is sales minus cost of sales **C** – is not the correct answer as £72 000 is sales minus expenses	**(1)**

Question Number	Which **one** of the following is the percentage change in the cost of material for one robot between 2021 and 2023? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C –** 15.00% **A** – is not the correct answer as 1.30% is 1200/92000 x 100 **B** – is not the correct answer as 13.04% is 12000/92000 x 100 **D** – is not the correct answer as 86.96% is 80000/92000 x100	**(1)**

Question Number	Define the term **stakeholder.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **stakeholder.** • Anyone with an interest in or who is affected by a business	**(1)**

Type MS · Work out profit or loss

Answer 3 of 5 · Question 1 part a.v · 1 mark

2024 NOV · Paper 01 · extract 4 of 9 · find part a.v in this mark scheme extract

Question Number	Define the term **social enterprise.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of a **social enterprise.** • An organisation whose main objective is to be a benefit to society **(1)**	**(1)**

Question Number	State **one** non-current asset that *Saha* is likely to have. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a non-current asset that *Saha* may have. • *Saha* is likely to have machinery which is used to manufacture the robots used in the hospitals **(1)** • *Saha* is likely to have vehicles that are used to deliver robots to the restaurants and hotels **(1)** **NB** Do not accept a non-current asset that is not in the context of *Saha* **Accept any other appropriate response.**	**(1)**

Type MS · Work out profit or loss

Answer 3 of 5 · Question 1 part a.v · 1 mark

2024 NOV · Paper 01 · extract 5 of 9 · find part a.v in this mark scheme extract

Question Number	Calculate the total revenue from the sale of all battery packs sold by *Saha* in 2023. You are advised to show your working. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** **5400 (2)** Or 1 mark for working if correct answer not given: 5 x 90 = 450 **(1)** **OR** 5 x 12 = 60 **(1)** **OR** 450 x 12 **(1)** **OR** 60 x 90 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Work out profit or loss

Answer 3 of 5 · Question 1 part a.v · 1 mark

2024 NOV · Paper 01 · extract 6 of 9 · find part a.v in this mark scheme extract

Question Number	Explain **one** advantage to a business of having limited liability. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for an advantage to a business of having limited liability plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • As the business exists as a separate legal entity **(1)** if the business goes into debt **(1)** this means the business owners are protected from losing their personal assets **(1)** • The business may raise large amounts of finance through selling shares **(1)** as investors only risk losing the value of their shares if the business fails **(1)** therefore the added finance will help the business to expand **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages to a business of having limited liability with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Work out profit or loss

Answer 3 of 5 · Question 1 part a.v · 1 mark

2024 NOV · Paper 01 · extract 7 of 9 · find part a.v in this mark scheme extract

Question Number	Analyse **two** methods of primary research that could be of benefit to *Saha* when developing its products. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Saha* could conduct interviews with current customers who use the robots in hospitals to understand how moving supplies between departments could be improved • Focus groups could be formed which include customers from restaurants and hotels to discuss potential new features of the robots **AO3** Feedback from interviews will help *Saha* design robots which are better suited to the needs of its customers based in the hospitals • The discussions in the focus groups may give *Saha* ideas on how to improve the function of the robots to meet the requirements of its customers	**(6)**

Type MS · Work out profit or loss

Answer 3 of 5 · Question 1 part a.v · 1 mark

2024 NOV · Paper 01 · extract 8 of 9 · find part a.v in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Work out profit or loss

Answer 3 of 5 · Question 1 part a.v · 1 mark

2024 NOV · Paper 01 · extract 9 of 9 · find part a.v in this mark scheme extract

Question Number	State **one** reason why branding is important to *Saha.* **Answer**	**Mark**

Type MS · Work out profit or loss

Answer 4 of 5 · Question 1 part a.vi · 1 mark

2025 JUN · Paper 01 (regional R) · extract 1 of 6 · find part a.vi in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D – Capital intensive** **A –** Kaizen - this is not correct because it is a method of lean production **B** – Job production - this is not correct because it is usually labour intensive **C** – Just-in-time - this is not correct because this is a method of lean production	**(1)**

Question Number	Which **one** of the following is a pricing strategy that involves setting a low price for a product when it is first introduced to the market to quickly gain market share? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is C – Penetration** **A –** Skimming **-** this is not correct because it is when a business charges a high price to begin with **B –** Competition **-** this is not correct because it is when a business considers its competitors price before setting theirs **D –** Cost plus - this is not correct because it is adding a mark-up to the product	**(1)**

Type MS · Work out profit or loss

Answer 4 of 5 · Question 1 part a.vi · 1 mark

2025 JUN · Paper 01 (regional R) · extract 2 of 6 · find part a.vi in this mark scheme extract

Question Number	Which **one** of the following is most likely to improve the cash flow position of a small business to help prevent its failure? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **(1)** Select **one** answer **The only correct answer is B – Paying suppliers later** **A** – Paying overhead costs sooner - this is not correct because it will increase the cash outflow **C** – Increasing the rate of pay for its employees- this is not correct because it will increase the cash outflow **D** –Decreasing the net cash flow - this is not correct because this means increased cash outflows compared to cash inflows	**(1)**

Question Number	Which **one** of the following is a financial business aim? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is C – Survival** **A –** Challenge - this is not correct because it is a non-financial business aim **B –** Independence - this is not correct because it is a non-financial business aim **D –** Control - this is not correct because it is a non-financial business aim	**(1)**

Type MS · Work out profit or loss

Answer 4 of 5 · Question 1 part a.vi · 1 mark

2025 JUN · Paper 01 (regional R) · extract 3 of 6 · find part a.vi in this mark scheme extract

Question Number	Which **one** of the following would *CCT* pay in CNY for **six** electric bicycles? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is D – 30 855.00 CNY** **A –** 550.00 CNY - this is not correct because it is the cost of one electric bicycle in £ **B –** 3 300.00 CNY - this is not correct because it is £550 x 6 bicycles **C –** 5 142.50 CNY - this is not correct because it is £550 x the exchange rate of 9.35	**(1)**

Question Number	Using **Figure 1** which **one** of the following is correct for *CCT*? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C – it made a profit of 412 658 CYN** **A –** it made a loss of 1 031 646 CYN - this is not correct because it is the total costs **B –** it made a loss of 412 658 CYN - this is not correct because it is the total costs minus revenue **D –** it made a profit of 1 031 646 CYN - this is not correct because it is the total costs	**(1)**

Question Number	Define the term **branding**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **branding**. • A name or logo that distinguishes it from its competition **(1)**	**(1)**

Type MS · Work out profit or loss

Answer 4 of 5 · Question 1 part a.vi · 1 mark

2025 JUN · Paper 01 (regional R) · extract 4 of 6 · find part a.vi in this mark scheme extract

Question Number	Define the term **autonomy**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **autonomy**. • Employees are given the authority to make decisions about how they work **(1)**	**(1)**

Question Number	State **one** method of secondary market research *CCT* could use to collect market data. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a method of secondary market research *CCT* could use to collect market data. • The internet to search for other bicycle-hire businesses in the local area **(1)** **NB** Do not accept a way that is not in the context of *CCT*. **Accept any other appropriate response.**	**(1)**

Question Number	Calculate, to **two** decimal places, the current ratio for 2024. You are advised to show your working **Answer**	**Additional guidance**	Mark
1 (e)	**A02 - 2 marks** 561 258/ 233 098 **(1)** = 2.41 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Work out profit or loss

Answer 4 of 5 · Question 1 part a.vi · 1 mark

2025 JUN · Paper 01 (regional R) · extract 5 of 6 · find part a.vi in this mark scheme extract

Question Number	Explain **one** benefit to the business owner of operating as a private limited company. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for a benefit to an owner of a private limited company, plus 2 further marks for explaining the benefit, for a maximum of 3 marks. • A private limited company has limited liability **(1)** which reduces the risk of ownership **(1)** as personal possessions will be protected in the event the business has to pay back any outstanding debts **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Analyse the concerns *CCT* may have of introducing this app for its customers. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Customers might be reluctant to download the app for a one-off biking experience • It can be costly for *CCT* to introduce an app where customers can book the bicycles. **AO3** • Its customers may have a lot of apps on their phones and might not see the point of downloading another one if they are only using it for a short amount of time whilst on holiday • *CCT* may not have the experience to create an app so may need to pay a designer to build the app and pay someone to maintain the app	**(6)**

Type MS · Work out profit or loss

Answer 4 of 5 · Question 1 part a.vi · 1 mark

2025 JUN · Paper 01 (regional R) · extract 6 of 6 · find part a.vi in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Question Number	State **one** financial method of motivation *CCT* could use with its employees. **Answer**	**Mark**

Type MS · Work out profit or loss

Answer 5 of 5 · Question 1 part a.vi · 1 mark

2025 JUN · Paper 01 · extract 1 of 6 · find part a.vi in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is B – Current liability** **A –** Current asset - this is not correct because it is something a business owns that can be converted to cash within 12 months **C** – Non-current asset - this is not correct because it is something owned by a business for longer than 12 months **D** – Non-current liability - this is not correct because it is a debt to be paid back longer than 12 months	**(1)**

Question Number	Which **one** of the following is a pricing strategy where a business sets an initial high price for a product new to the market? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is A – Skimming** **B –** Competition **-** this is not correct because it is when a business considers its competitors price before setting theirs **C –** Penetration **-** this is not correct because it is when a business charges a low price to begin with before setting its own price **D –** Cost plus - this is not correct because it is adding a percentage to the cost of making the product	**(1)**

Type MS · Work out profit or loss

Answer 5 of 5 · Question 1 part a.vi · 1 mark

2025 JUN · Paper 01 · extract 2 of 6 · find part a.vi in this mark scheme extract

Question Number	Which **one** of the following is a role of the human resources department? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D – Recruiting employees** **A** – Reducing costs - this is not correct because it is the role of finance **B** – Designing products- this is not correct because it is the role of production **C** – Customer Service - this is not correct because it is the role of marketing	**(1)**

Question Number	Which **one** of the following is a benefit to a shareholder of having limited liability? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is C – Own possessions are not at risk** **A –** Choosing who buys shares - this is not correct because this is a benefit of owning a private limited company **B –** May build a better relationship with suppliers - this is not correct because it is a benefit of loyalty to a supplier **D –** Employee motivation will increase - this is not correct because it is a benefit of a good relationship with employees	**(1)**

Type MS · Work out profit or loss

Answer 5 of 5 · Question 1 part a.vi · 1 mark

2025 JUN · Paper 01 · extract 3 of 6 · find part a.vi in this mark scheme extract

Question Number	Which **one** of the following is the break-even level of output? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is B - 350** **A** – 280 - this is not correct because it is the fixed costs **C** – 420 - this is not correct because it is the fixed costs multiplied by revenue **D** – 616 - this is not correct because it is the revenue added to variable cost per unit then multiplied by fixed costs	**(1)**

Question Number	Which **one** of the following statements from **Figure 2** correctly applies to the gym equipment business? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C – it made a profit of €43 765** **A** – It made a loss of €88 400 - this is not correct because it is the total costs **B** – It made a loss of €61 165 - this is not correct because it is (€54 000 + €17 000) – €132 165 **D** – It made a profit of €78 165 - this is not correct because it is €132 165 - €54 000	**(1)**

Question Number	Define the term **trade bloc.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **trade bloc**. • A group of countries that work together to benefit from trade free of barriers **(1)**	**(1)**

Type MS · Work out profit or loss

Answer 5 of 5 · Question 1 part a.vi · 1 mark

2025 JUN · Paper 01 · extract 4 of 6 · find part a.vi in this mark scheme extract

Question Number	Define the term **job production.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **job production**. • The one-off production of a customised product to meet a customers' specific needs **(1)**	**(1)**

Question Number	State **one** reason why *Four Fitness* would pay its employees more than the minimum wage. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a reason *Four Fitness* would pay its employees higher than minimum wage. • Its gym instructors are highly qualified and skilled **(1)** **NB** Do not accept a reason that is not in the context of *Four Fitness*. **Accept any other appropriate response.**	**(1)**

Question Number	Calculate the total price if five *Four Fitness* members attend the event. You are advised to show your working. **Answer**	**Additional guidance**	Mark
1 (e)	**AO2 - 2 marks** 175 – 12.25 = 162.75 **(2)** 35 x 5 = 175 **(1)** 175 x 0.07 = 12.25 **(1)**	Award full marks for correct numerical answer without working. Award 1 mark for correctly substituting numbers into formula.	**(2)**

Type MS · Work out profit or loss

Answer 5 of 5 · Question 1 part a.vi · 1 mark

2025 JUN · Paper 01 · extract 5 of 6 · find part a.vi in this mark scheme extract

Question Number	Explain **one** impact to a business of providing fringe benefits to employees. **Answer**	Mark
1 (f)	**AO1 - 3 marks** Award 1 mark for an impact to a business of providing fringe benefits to employees, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • Lower staff turnover **(1)** which reduces recruitment costs **(1)** as they will not need to find new employees **(1)** **NB** Answers that list three impacts with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Analyse the effectiveness of the wide span of control used by Gianni Polvani. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Gianni will be able to empower his employees directly within the gym as there are no layers between him and them • 14 employees may be too many for Gianni to manage himself especially as he has two gyms to run **AO3** • Employees will be more motivated as decisions will be made quicker and this will encourage them to take ownership of their own work resulting in them bringing in new ideas to the gym • He may not be able to spread his time evenly between all the workers which could lead to lower productivity levels because of this reduced supervision	**(6)**

Type MS · Work out profit or loss

Answer 5 of 5 · Question 1 part a.vi · 1 mark

2025 JUN · Paper 01 · extract 6 of 6 · find part a.vi in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Question Number	State **one** factor *Four Fitness* may consider when choosing a location for its new gym. **Answer**	Mark